

UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF CALIFORNIA

SECURITIES AND EXCHANGE
COMMISSION,

Plaintiff,

v.

MICHAEL J. FORSTER,

Defendant.

Case No.: 22-cv-00627-AJB-BLM

**FINAL JUDGMENT AS TO
MICHAEL J. FORSTER**

The Securities and Exchange Commission, having filed a Complaint, and Defendant Michael J. Forster, having entered a general appearance, consented to the Court's jurisdiction over Defendant and the subject matter of this action, consented to entry of this Final Judgment, waived findings of fact and conclusions of law, and waived any right to appeal from this Final Judgment:

I.

IT IS ORDERED, ADJUDGED, AND DECREED that Defendant is permanently restrained and enjoined from violating, directly or indirectly, Section 10(b) of the Securities Exchange Act of 1934 (the "Exchange Act"), 15 U.S.C. § 78j(b), and Exchange Act Rule

1 10b-5, 17 C.F.R. § 240.10b-5, by using any means or instrumentality of interstate
2 commerce, or of the mails, or of any facility of any national securities exchange, in
3 connection with the purchase or sale of any security:

- 4 (a) to employ any device, scheme, or artifice to defraud;
5 (b) to make any untrue statement of a material fact, or to omit to state a material
6 fact necessary in order to make the statements made, in the light of the
7 circumstances under which they were made, not misleading, or
8 (c) to engage in any act, practice, or course of business which operates or would
9 operate as a fraud or deceit upon any person.

10 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as provided in
11 Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also binds the following
12 who receive actual notice of this Final Judgment by personal service or otherwise: (a)
13 Defendant's officers, agents, servants, employees, and attorneys; and (b) other persons in
14 active concert or participation with Defendant or with anyone described in (a).

15 **II.**

16 IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that
17 Defendant is permanently restrained and enjoined from violating Section 17(a) of the
18 Securities Act of 1933 (the "Securities Act"), 15 U.S.C. § 77q(a), in the offer or sale of any
19 security by the use of any means or instruments of transportation or communication in
20 interstate commerce or by use of the mails, directly or indirectly:

- 21 (a) to employ any device, scheme, or artifice to defraud;
22 (b) to obtain money or property by means of any untrue statement of a material
23 fact or any omission of a material fact necessary in order to make the
24 statements made, in light of the circumstances under which they were made,
25 not misleading; or
26 (c) to engage in any transaction, practice, or course of business which operates or
27 would operate as a fraud or deceit upon the purchaser.

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1 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as provided in
2 Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also binds the following
3 who receive actual notice of this Final Judgment by personal service or otherwise:
4 (a) Defendant's officers, agents, servants, employees, and attorneys; and (b) other persons
5 in active concert or participation with Defendant or with anyone described in (a).

6 **III.**

7 IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that
8 Defendant is permanently restrained and enjoined from violating Section 9(a)(2) of the
9 Exchange Act, 15 U.S.C. § 78i(a)(2), by the use of the mails or any means or
10 instrumentalities of interstate commerce, or of any facility of any national securities
11 exchange, directly or indirectly, to effect, alone with one or more other persons, a series of
12 transactions in any security registered on a national securities exchange, any security not
13 so registered, or in connection with any security-based swap or security-based swap
14 agreement with respect to such security creating actual or apparent active trading in such
15 security, or raising or depressing the price of such security, for the purpose of inducing the
16 purchase or sale of such security by others.

17 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as provided in
18 Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also binds the following
19 who receive actual notice of this Final Judgment by personal service or otherwise:
20 (a) Defendant's officers, agents, servants, employees, and attorneys; and (b) other persons
21 in active concert or participation with Defendant or with anyone described in (a).

22 **IV.**

23 IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that
24 Defendant is permanently barred from participating in an offering of penny stock, including
25 engaging in activities with a broker, dealer, or issuer for purposes of issuing, trading, or
26 inducing or attempting to induce the purchase or sale of any penny stock. A penny stock is
27 any equity security that has a price of less than five dollars, except as provided in Rule
28 3a51-1 under the Exchange Act, 17 C.F.R. § 240.3a51-1.

V.

IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that Defendant is liable for disgorgement of \$144,320, representing his ill-gotten gains as a result of the conduct alleged in the Complaint, and prejudgment interest thereon of \$12,040, for a total of \$156,360, payment of which shall be deemed satisfied by the order of forfeiture entered against him in *United States v. Michael Forster*, Case No. 20-cr-00325-CAB (S.D. Cal.).

VI.

IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that the Consent is incorporated herein with the same force and effect as if fully set forth herein, and that Defendant shall comply with all of the undertakings and agreements set forth therein.

VII.

IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, for purposes of exceptions to discharge set forth in Section 523 of the Bankruptcy Code, 11 U.S.C. § 523, the allegations in the complaint are true and admitted by Defendant, and further, any debt for disgorgement, prejudgment interest, civil penalty or other amounts due by Defendant under this Final Judgment or any other judgment, order, consent order, decree or settlement agreement entered in connection with this proceeding, is a debt for the violation by Defendant of the federal securities laws or any regulation or order issued under such laws, as set forth in Section 523(a)(19) of the Bankruptcy Code, 11 U.S.C. § 523(a)(19).

VIII.

IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that this Court shall retain jurisdiction of this matter for the purposes of enforcing the terms of this Final Judgment.

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IX.

There being no just reason for delay, pursuant to Rule 54(b) of the Federal Rules of Civil Procedure, the Clerk is ordered to enter this Final Judgment forthwith and without further notice.

IT IS SO ORDERED.

Dated: July 13, 2026


Hon. Anthony J. Battaglia
United States District Judge